

Benedict Guttman-Kenney: Research Statement*

I am an Assistant Professor of Finance at Rice University, Jones Graduate School of Business. I hold a Ph.D. Economics & M.B.A. from the University of Chicago Booth School of Business and was awarded the NBER Dissertation Fellowship on Consumer Finance. My research focuses on household finance topics that are both academically interesting and are also relevant to inform public policymaking on the topic of consumer financial protection regulation. Before starting my PhD, I previously worked for six years at the UK consumer financial protection regulator – the Financial Conduct Authority and was seconded to the Federal Reserve Bank of New York for six months.¹ These experiences provided me with a deep institutional knowledge of household finance that informs my research. I group my research into two broad topics: (1) the economics of credit information, and (2) behavioral household finance. I now briefly summarize my research on these.

1 The Economics of Credit Information

My first research topic studies the economics of credit information. I study the role of credit bureaus as financial intermediaries and the implications for consumers of information being shared.

My paper (Gibbs et al., 2025) is published in the *Journal of Economic Literature* (a top general-interest economics journal, holding the third highest impact factor across all economics and finance journals). This paper describes the economics of consumer credit reporting data, highlights these data's uses across fields, and provides practical guidance on use. This paper aims to help increase awareness of these data's potentials, lower barriers to entry to working with these, and provide guidance on best practices. I expect this to be an influential paper that will be cited by effectively every paper using credit reporting data.

My Job Market Paper (Guttman-Kenney and Shahidinejad, 2025) documents the fragility of information sharing showing the breakdown of information sharing in US consumer credit markets. I document a 53 percentage point decrease in credit cards sharing actual payments information with credit bureaus between 2013 and 2022, without any decrease for other credit products. Decreased information sharing is an unintended response of credit card lenders to credit bureaus' innovation. I show that the innovation uses credit card actual payments information to reveal heterogeneous credit card behaviors that predict components of profitability: spending driving interchange revenue, and revolving debt driving financing charges. The credit card lenders that stop sharing information have higher profitability and higher spending customers who are attractive targets for competitors to poach. I demonstrate the sensitivity of information sharing to innovations enabling targeting of profitable customers. I show the importance of spending as a

*benedictgk@rice.edu. For more details, please see my [website](#) or my [CV](#) has abstracts and links to all my papers.

¹At the Federal Reserve I designed a methodology for monitoring US household leverage and stress-testing the resilience of households to changes in house prices (Fuster et al., 2018). I studied the implications of the COVID-19 pandemic to inform UK policymaking (Gathergood and Guttman-Kenney, 2021; Gathergood et al., 2021) and, in Guttman-Kenney et al. (2022), published in *JAMA Health Forum*, I found COVID-19 did not cause a rise in US medical debt that people feared may occur. See my [CV](#) for details of my household finance policy work.

second source of uncertainty, beyond default risk, faced by credit card lenders. Lenders aim to acquire high spending, long tenure cardholders as these are profitable. I then provide evidence of how mandating information sharing can increase competition. I do this by studying a prior case where the regulator mandated that US credit card lenders share credit card limits information. I find this policy leads to more account openings with substitution from inside to outside lenders.

My solo-authored working paper (Guttman-Kenney, 2025a) researches a new form of forbearance to alleviate financial distress for consumers affected by natural disasters: “disaster flags”. I find that 68 million US consumers had a “disaster flag” on their credit report between 2015 and 2024. Disaster flags mask adverse credit report data – separate to any changes to contract terms (e.g., adjusting payments) – with the aim of protecting credit access following disasters such as hurricanes & wildfires. Consumers with flags are ex-ante riskier, experience temporarily increases in credit scores but no improvements in credit access. I consider counterfactual policies that require all new defaults of consumers exposed to natural disasters to be automatically masked in credit reports and estimate the costs of predictive loss from removing a large quantity of credit information. I find that masking defaults for a longer period of time increasingly reduces predictive performance, and the costs depend upon how defaults that initially occur during disasters are recorded in credit reports after the disasters.

I also have new research-in-progress (Cookson et al., 2025) that studies the selection and assimilation of immigrants into the U.S. consumer credit markets. I study how immigrants’ credit use changes over their lifecycle, compared to non-immigrants, and immigrants who enter the US at different ages.

2 Behavioral Household Finance

My second research topic studies behavioral household finance. This strand of research focuses on understanding consumer use of unsecured debt by combining big datasets with tools from economics and psychology. My research paper on payday loans (Gathergood et al., 2019) is published in the *Review of Financial Studies* (one of the top three finance journals) and was presented at the NBER Summer Institute. This paper estimates that UK payday loan use causes short-run liquidity gains but persistent costs from defaults and overdraft use. I collect data on the population of payday loan applications, link these to credit reports, and use a Regression Discontinuity Design methodology exploiting discontinuities in the probability of taking out a payday loan at credit score thresholds. In Guttman-Kenney et al. (2023), I published the first academic finance paper studying a new form of unsecured debt, “buy now, pay later” (BNPL), documenting that consumers charge BNPL installments to their credit cards.

A key part of my second research agenda is studying ways to help consumers reduce their credit card debt. Across three papers, I test behaviorally-informed policies to reduce credit card debt (Adams et al., 2022; Sakaguchi et al., 2022; Guttman-Kenney et al., 2025). The first paper from this project (Guttman-Kenney et al., 2025) is published in the *American Economic Journal: Economic Policy* (regarded as the top ranked economics journal in its field). This finds consumer

responses to a nudge, tested in a field experiment, counteract its intended effect to reduce credit card debt. Despite the nudge causing large effects changing Autopay enrollment, the nudge does not reduce debt. This is due to offsetting consumer responses to the nudge. The second paper (Adams et al., 2022) was solicited and published in the Centenary issue of *Economica*. This conducts field experiments on 180,000 consumers across three lenders and finds that nudges are ineffective at changing consumer behaviors. The third paper (Sakaguchi et al., 2022) is published in the *Journal of Marketing Research* (one of the top three marketing journals) shows the default effects of credit card minimum payments. The failure of disclosures and nudges to reduce credit card debt has led to a new working paper (Allen et al., 2024) studying the trade-offs of a hard paternalistic policy requiring higher credit card minimum payments in Quebec, Canada. This policy is effective at reducing debt, but this comes at a cost of reduced credit access, and potentially increasing delinquency.

Finally, in work-in-progress (Guttman-Kenney, 2025b), I study the elasticity of consumer budgeting heuristics: finding when gas / petrol prices increase, the use of a heuristic round numbered amount expenditure amount (e.g., PQ = £20) declines and consumers make more trips to refuel.

I have refereed for many leading journals, most notably including the Review of Financial Studies, American Economic Journal: Economic Policy, and Management Science. I have been on the program committee for the Society for Financial Studies (SFS) Cavalcade North America 2025 and evaluated National Science Foundation grants.

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Contribution Statement: It is the norm in economics and finance academia for authorship of journal articles to be in alphabetical order. In a couple of my papers (Guttman-Kenney et al., 2023, 2025), the authorship is non-alphabetical to signal that I was the project lead despite being junior in age. My marketing publication (Sakaguchi et al., 2022) is non-alphabetical as this paper developed from the merger of two working papers during the journal review process: (1) Sakaguchi, Stewart, and Gathergood (non-alphabetical based on norm in psychology), and (2) Adams, Guttman-Kenney, Hayes, Hunt, and Stewart (alphabetical based on the norm in economics).

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